

13 Sep 2026 10:48:26 ET | 10 pages

TDK (6762.T)

Takeaways from passive component plant visit (September 2026)

CITI'S TAKE

On September 11, TDK held tours of the Honjo, Sakata, and Tsuruoka East plants, along with a briefing on its electronic components business. Through (1) market growth in AI servers for MLCCs, aluminum capacitors, and thin-film inductors, (2) tours of production initiatives and in-house equipment at each plant, and (3) an explanation of the technology combining its strengths in lamination and thin-film, this event deepened our understanding of TDK's competitiveness and left us with a positive impression. Secondary batteries for smartphones have accounted for the majority of TDK's sales and profits (more than 30% and more than 50%, respectively, on our estimates), but we believe market attention on passive components for AI servers will also rise during the next medium-term plan period. We maintain our view that the shares look significantly undervalued in light of the company's future overall profit growth.

MLCCs – TDK is drawing on the reliability and specs honed in automotive MLCCs to expand business in high-voltage and high-temperature AI data center applications. Generational advancement toward HVDC is playing to TDK strengths, with increased demand for heat resistance. We were able to appreciate the significance of the joint venture with Nippon Chemical Industrial more fully when we learnt that shorter lead times in materials technology are a key differentiation point. At the Honjo Factory West Site we were able to ascertain TDK integrated production line efficiency and company differentiation initiatives deploying in-house equipment for key processes like stacking. We got a sense of strong competitiveness in production. The company also emphasized steady growth prospects in automotive.

Aluminum capacitors — These are evidently the passive component making the greatest strides in production capacity expansion (annual doubling, the same as at competitors). Demand is apparently increasing rapidly in high voltage, the same as for MLCCs. TDK is using new anode foil technology developed in-house, which potentially increases capacity by 20%-plus in comparison with traditional acid etching and apparently gives TDK a competitive edge. The company believes it has c50% share in AI data center applications.

Inductors — Thin-film inductors have prospects for wider use in the future with solar modules and next-generation CPU/GPU vertical power delivery. TDK is using its thin-film technology from HDD heads and we got a sense of sizeable medium-term growth potential. While we observed the winding process, the company explained that high yield cannot be obtained simply by installing equipment and emphasized that know-how in maintaining high-precision lines is the most important factor. The company also emphasized growth prospects in automotive and physical AI.

Buy

Price (11 Sep 26 15:30)	¥2,808.5
Target price	¥4,500.0
Expected share price return	60.2%
Expected dividend yield	1.4%
Expected total return	61.7%
Market Cap	¥5,330,966M
	US\$34,719M

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

TDK

Valuation

In setting our target prices for the component industry, we employ RoIC-WACC, taking net cash into consideration. We set a base year of FY3/29, assume an expected growth rate of 0% and a risk-free rate of 2.0%, and calculate an equity-risk premium of 3.0% from the recent TOPIX earnings yield.

Our ¥4,500 target price is derived as follows. Theoretical shareholder value $(= \text{FY3/29E adjusted NOPAT} \times \text{future business value multiplier} + \text{end-FY3/29E net cash [after deducting an amount equivalent to 5\% of annual sales, including book value of investment securities]} - \text{end-FY3/29E minority interest}) / (1 + \text{WACC})^{\text{(number of months to end of valuation base FY/12)}}$.

Risks

Risks associated with our target price include 1) trends in HDD demand, 2) demand trends in tech products in general, 3) substantial changes in TDK's price competitiveness in passive components, 4) rapid changes in smartphone demand, 5) sharp yen fluctuations, 6) inventory adjustments in the AI auto market, and 7) sensor adoption trends.

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Appendix A-1

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TDK (6762)

Ratings and Target Price History
Fundamental Research

Analyst: Takayuki Naito



	Date	Rating	Target Price	Closing Price
1	24-Nov-23 01:30:40	1	*1,600	1,347
2	20-Feb-24 01:05:00	1	*1,800	1,559
3	15-Aug-24 03:07:06	1	*2,400	1,919

*Indicates Change

	Date	Rating	Target Price	Closing Price
4	14-Feb-25 01:35:00	1	*2,100	1,721
5	10-Jun-25 02:35:00	1	*2,200	1,543
6	17-Dec-25 01:35:00	1	*2,600	2,223

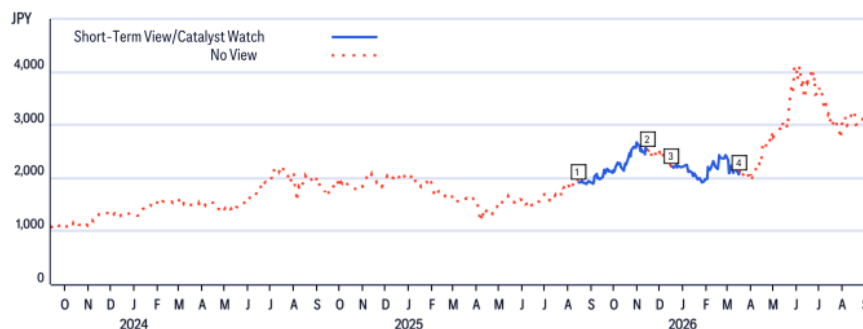
	Date	Rating	Target Price	Closing Price
7	20-Feb-26 01:49:02	1	*2,800	2,380
8	29-Jun-26 02:35:31	1	*4,500	3,593

Rating/target price changes above reflect Eastern Time

TDK (6762)

Short-Term View/Catalyst Watch Research

Analyst: Takayuki Naito



	Date	Action	Expected Direction	Duration	Closing Price
1	17-Aug-25 22:35:00	Add STV	Upside	90 Days	1,918
2	16-Nov-25 20:59:24	Remove STV	Upside	90 Days	2,536

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
3	16-Dec-25 20:35:00	Add STV	Upside	90 Days	2,226
4	17-Mar-26 22:47:35	Remove STV	Upside	90 Days	2,109

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% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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